

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

MARIE CAREW D/B/A/ HOLIDAY SHIPPING, *Complainant*

v.

MAERSK LINE A/S & JOHN DOES, *Respondents*.

DOCKET NO. 20-17

Served: April 8, 2021

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER DENYING MOTION FOR JUDGEMENT ON THE PLEADINGS

I. Introduction

Complainant Marie Carew d/b/a Holiday Shipping (“Holiday Shipping”) filed a complaint against Respondent Maersk Line A/S (“Maersk”) alleging violation of the Shipping Act, section 41102(c) and Commission Rule 545.4(d). Complaint at 2 (citing 46 U.S.C. § 41102(c), 46 C.F.R. § 545.4(d)).

On December 1, 2020, Maersk filed a notice of motion (“Notice”) stating that it would move for an order dismissing all claims against it by Holiday Shipping, together with a memorandum of law in support of motion with exhibits (“Motion”) requesting a judgement on the pleadings. On January 12, 2021, Holiday Shipping filed a response to Maersk’s motion and exhibits (“Opposition”). On January 19, 2021, Maersk filed a reply memorandum of law in support of motion with exhibits (“Reply”). On January 21, 2021, Holiday Shipping submitted a response to the reply (“Sur-Reply”). The short sur-reply will be permitted.

After reviewing the parties’ submissions, an order requiring joint status report (“JSR Order”) was issued on January 25, 2021, instructing the parties to discuss whether this proceeding could be settled and to submit a joint status report indicating whether they had discussed a settlement; to provide a joint table listing the status of each container in dispute; and to submit any arguments regarding the next steps to be taken. On March 3, 2021, the parties filed a joint status report with the parties submitting exhibits separately.¹

¹ The parties were instructed that they “must not provide details regarding settlement negotiations.” JSR Order at 3. Complainant attempted to file an exhibit labeled “Settlement Discussions,” which was rejected by the Office of the Secretary. The parties subsequently exchanged emails, but no motion was filed objecting to the rejection. The parties are again reminded that they must comply with all orders in this proceeding.

For the reasons explained below, the motion is denied. Maersk shall file its response to the complaint by April 28, 2021, and the parties shall file their second joint status report with proposed schedule by May 10, 2021.

II. Arguments of the Parties

Respondent Maersk argues that the Commission should decline to exercise jurisdiction over Holiday Shipping's complaint because the charges in question are the subject of a first-filed breach-of-contract action now pending in the United States District Court for the Southern District of New York ("SDNY") and that Holiday Shipping's complaint should be dismissed as moot because Maersk has agreed to release Holiday Shipping from the demurrage charges under the subject bills of lading. Motion at 5-8.

Complainant Holiday Shipping asserts that Maersk has not indicated that it would release the containers to the consignees at the different destination ports and Maersk's continued refusal to deliver the four containers to the consignees denies Holiday Shipping adequate relief; the SDNY lacks total jurisdiction over Holiday Shipping and the Commission has exclusive jurisdiction over the matters between the parties; the Commission is the only body that could award adequate relief in these cases; and Maersk's motion is premature. Opposition at 2. Holiday Shipping further alleges that Maersk converted the containers at issue, in further support for the alleged violation of section 41102(c). Sur-Reply at 1.

III. Discussion

A. Judgment on the Pleadings

Maersk provided notice that it would move to dismiss all claims by Holiday Shipping. Notice at 1. In its motion, Maersk asserts that "[j]udgment on the pleadings is appropriate where material facts are undisputed and where a judgment on the merits is possible merely by considering the contents of the pleadings." Motion at 4 (citing *Federal Ins. Co. v. M/V "Ville D'Aquarius,"* 2012 A.M.C. 1334 (S.D.N.Y. Oct. 20, 2009) and Fed. R. Civ. P. 12(c)). Despite the Notice's reference to dismissal, it appears that Maersk seeks a judgement on the pleadings.

Although the Commission's Rules of Practice and Procedure ("Commission Rules") do not explicitly provide for motions to dismiss or for judgment on the pleadings, Commission Rule 12 states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12.

Federal Rule 12(c), cited by Respondent, provides: "After the pleadings are closed – but early enough not to delay trial – a party may move for judgment on the pleadings." At this early stage of the proceeding, it is more common for parties to file Federal Rule 12(b) motions to dismiss, rather than Federal Rule 12(c) motions for judgment on the pleadings, especially where, as here, an answer has not yet been filed. If a motion for judgement on the pleadings "is filed before the answer, the court may treat it as a motion to dismiss under Rule 12(b)(6)" although "any distinction between them is merely semantic because the same standard applies to motions made under either subsection." 2 Moore's Federal Practice - Civil § 12.38 (2021); see also *Phila. Indem. Ins. Co. v. Lend Lease United States Constr.*, 170 F. Supp. 3d 190, 192 (D.D.C. 2016).

A Court will grant judgement on the pleadings only if it is clear that no relief could be granted under any set of facts that could be proved consistent with the allegations. If there are allegations in the complaint which, if proved, would provide a basis for recovery, the Court cannot grant judgement on the pleadings. Accordingly, all factual doubts must be resolved in favor of the plaintiff. The standard of review under Rule 12(c) is essentially the same as that for a motion to dismiss under Rule 12(b)(6).

Lightfoot v. District of Columbia, 2006 U.S. Dist. LEXIS 1358, at *6-7 (D.D.C. 2006) (citations and quotation marks omitted); see also *Safbank Line Ltd. v. Royale Int’l Transp., Inc.*, 1990 FMC LEXIS 7, at *5-6 (ALJ 1990). “Whether under Rule 12(b)(6) or (c), when the court considers matters outside the pleadings, other than matters of which the court may take judicial notice, it must treat the motion as one for summary judgment under Rule 56.” 2 Moore’s Federal Practice - Civil § 12.38 (2021).

B. Analysis

1. Jurisdiction

Maersk argues in its motion that the Commission should decline to exercise jurisdiction over Holiday Shipping’s complaint because the charges made by Holiday Shipping are already the subject of a first-filed breach-of-contract action pending in the United States District Court for the Southern District of New York. Motion at 5-6 (citing “*VerTerra Ltd. v. D.B. Group Am. Ltd.* Docket No. 19-09, F.M.C. Jan. 13, 2020.”) Maersk asserts that “bringing a proceeding before the FMC for the same fees which are already the subject of a court action is patently improper” and that Holiday Shipping’s breach of contract claims should not be adjudicated by the Commission but by a court, unless the parties agree to arbitrate the dispute instead. Motion at 5. In their reply, Maersk contends that Holiday Shipping’s argument that venue was misplaced in the federal case is for the federal court to decide. Reply at 3-6.

The *VerTerra* document cited by Maersk was not an *order* but rather a *motion* to dismiss filed by the respondent in that proceeding. JSR Order at 1. The order in *VerTerra* denied the motion, stating:

Commission precedent holds that even when there is litigation between the parties in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. This precedent was described in a prior proceeding:

To elaborate, section 8(c) of the Shipping Act, now codified at 46 U.S.C. § 40502(f), provides: “Unless the parties agree otherwise, the exclusive remedy for a breach of a service contract is an action in an appropriate court.” In *Cargo One*, the question was whether this provision precluded Commission jurisdiction over complaints alleging Shipping Act violations related to service contracts.

While section 8(c) reasonably precludes the Commission from adjudicating breach of contract claims, the courts more properly equipped to address

those matters are not authorized to address Shipping Act matters exclusively within the Commission's jurisdiction. Such issues are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action. Moreover, as noted *supra*, reliance on the Commission to pursue such violations *sua sponte* in its investigatory role would eviscerate the reparations remedy afforded complainants by the statute. Therefore, we find that the ALJ should proceed to consider those claims.

Cargo One, [Inc. v. Cosco Container Lines Co. Ltd, 28 S.R.R. 1635, 1645 (FMC 2000).]

Relying on the principles stated in *Cargo One*, the Commission has held that jurisdiction over a complaint alleging violations of the Shipping Act exists even though a proceeding in another forum may have resolved some issues between the parties. For instance, prior to filing its complaint with the Commission, one complainant had sought and obtained an arbitration award of several hundred thousand dollars against the Commission respondent. The complainant filed a complaint with the Commission alleging Shipping Act violations and seeking another million dollars. The Commission reversed the order of the administrative law judge dismissing the complaint and remanded for further proceedings on the Shipping Act claims set forth in the complaint. The Commission held that the fact that the service contract between the parties required arbitration:

does not outweigh the Commission's duty to protect the public by ensuring that service contracts are implemented in accordance with the Shipping Act. . . . To preclude Anchor from proceeding with its complaint solely because a private arbitrator previously issued a ruling would be inconsistent with our statutory mandate to hear such complaints.

Anchor Shipping Co. v. Aliança Navegação E Logística Ltda., 30 S.R.R. 991, 998 (FMC 2006). The Commission stated that "[o]n remand, we direct the ALJ to address only those allegations involving Shipping Act violations, and any disputes previously addressed by the Arbitrator that are based upon common law breach of contract claims shall remain binding upon the parties." *Id.*, at 999-1000.

Baltic Auto Shipping, Inc. v. Hitrinov, 33 S.R.R. 1230, 1232-33 (ALJ 2015) (Order Denying Request for Stay).

“[A]lleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.” *Mediterranean Shipping Co. USA v. Cargo Inc.*, 46 F. Supp. 3d 294, 301 (S.D.N.Y. 2014) (citing *Gov’t of Guam v. American President Lines*, 28 F.3d 142, 144 (D.C. Cir. 1994) (affirming a district court’s dismissal of a Shipping Act claim due to lack of jurisdiction); *D.L. Piazza Co. v. West Coast Line*, 210 F.2d 947, 948 (2d Cir. 1954) (explaining that “the Federal Maritime Board has exclusive primary jurisdiction over” matters “under the Shipping Act”)).

VerTerra, 2020 FMC LEXIS 31, at *2-5 (ALJ March 5, 2020) (Order Denying Motion to Dismiss or Stay Proceeding).

The *VerTerra* order concluded that:

Thus, the Commission and state court cases allege different violations. The state court does not have jurisdiction to decide the Shipping Act claims just as the Commission does not have jurisdiction to decide the state law claims. In addition, jurisdiction over Shipping Act claims cannot be transferred to another venue by form language in an agreement between the parties.

VerTerra, 2020 FMC LEXIS 31, at *6. The order further explained: “Irrespective of the outcome of the state court case between the parties, the Commission will have the obligation to determine whether the Shipping Act was violated. Therefore, Respondents have not established that this proceeding should be dismissed to await that outcome. Respondents’ motion to dismiss is denied.” *VerTerra*, 2020 FMC LEXIS 31, at *7.

As stated in the decision in *VerTerra*, Commission precedent holds that even when parties in a Commission proceeding are engaged in litigation in other courts, the Commission has an obligation to determine whether an entity has violated the Shipping Act. *VerTerra*, 2020 FMC LEXIS 31, at *2. Accordingly, Maersk’s suit in another court is not a basis to dismiss Holiday Shipping’s complaint. Moreover, arguments regarding the federal court proceeding, including venue, are not appropriate in this proceeding. The parties should limit their arguments here to whether or not the Shipping Act was violated, focusing on each of the elements identified in Commission Rule 545.4.

2. Mootness

Maersk argues that because it had already agreed to release Holiday Shipping from the demurrage charges alleged to violate the Shipping Act, Holiday Shipping’s complaint should be dismissed as moot, stating that “where the contested fees which form the basis for the alleged case or controversy are voluntarily withdrawn, the FMC has traditionally not hesitated to dismiss complaints as moot.” Motion at 7-8 (citing “*Petition No. P2-16 Filed by Chassis Leasors for Order to Show Cause*, *Petition No. P2-16* (FMC Aug. 26, 2016)”).² Maersk alleges in its reply

² Maersk appears to cite to a comment filed by ILWU on August 26, 2016, in connection with *Petition No. P2-16, Petition of Direct ChassisLink, Inc., Flexi-Van Leasing, Inc., & Trac Intermodal for an Order to Show Cause*, not to an order of the Commission. Opposition at 7.

that the “Complaint makes no mention whatsoever of any purported refusal to deliver the consignments at issue.” Reply at 2.

Holiday Shipping contends that “even if Maersk was to dismiss its contract claims against the four consignments, Maersk has not indicated if it would release the consignments to the Consignees at the different destination ports.” Opposition at 2.

The complaint alleges that the action “arises from the continued retention of the various containers” and alleges that Maersk “escalated the demurrage and detention while the consignments were undergoing government inspection, and without extenuating circumstances.” Complaint at 2-3. The request for relief in the complaint includes release of the containers, cease and desist order, reasonable practices, and indemnification for damages. Complaint at 4.

The fact that Maersk may have waived some or all of the demurrage charges for the containers at issue does not necessarily mean that Holiday Shipping’s complaint is moot. A complaint for a section 41102(c) violation alleges a failure to “establish, observe, and enforce just and reasonable regulations and practices.” 46 U.S.C. § 41102(c). Moreover, it is clear from the complaint that Holiday Shipping is seeking the release of the containers. Accepting the allegations in the complaint as true for the purpose of evaluating the motion, it is plausible that a Shipping Act violation occurred, for example, if Maersk failed to establish, observe, and enforce just and reasonable regulations and practices regarding demurrage or detention or if documentation needed to process release of the containers was unreasonably withheld. While the decision to waive the demurrage charges could impact the amount of reparations, it would not obviate the claim, particularly as the complaint indicates that the cargo has not yet been received so that the harm may extend beyond the demurrage charges. Thus, giving weight to the complaint’s allegations, Maersk is not entitled to prevail on their motion for judgment on the pleadings.

3. Conclusion

Holiday Shipping alleges facts that could plausibly establish a Shipping Act, section 41102(c) violation, which is a sufficient basis for the Commission to assert jurisdiction over the complaint even if there is a pending federal court proceeding. Moreover, waiving fees for the containers at issue does not necessarily make the claim moot, although it may impact whether reparations are available. Allowing the case to move forward will provide both sides an opportunity to undertake discovery to obtain evidence necessary to establish whether a section 41102(c) violation is present in this case. The parties should pay close attention to all of the required elements of a section 41102(c) claim, outlined in Commission Rule 545.4, including whether the claimed acts or omissions are occurring on a normal, customary, and continuing basis. 46 C.F.R. § 545.4. Accordingly, Maersk’s motion for judgment on the pleadings is denied.

C. Next Steps

Maersk must file its answer with the Commission and serve the answer on Holiday Shipping by April 28, 2021. Additionally, the parties are ordered to submit a second joint status report containing a proposed schedule for discovery and briefing by May 10, 2021.

The parties state that the four containers at issue are currently in Nigeria in custody of the Nigerian Ports Authority, although the parties disagree as to the reasons they are being held. JSR at 2. The parties should keep in mind that the undersigned has no control over what the Nigerian authorities choose to do regarding the detained containers. The parties are therefore encouraged to work towards retrieving the containers in order to minimize any damages.

Holiday Shipping has failed to timely submit filings and failed to comply with orders issued in the proceeding on a number of occasions. Maersk's motion incorrectly cites legal authority twice. The parties are warned that failure to follow the requirements in this proceeding may result in sanctions.

IV. Order

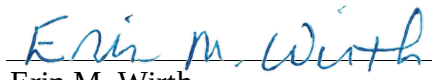
Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Maersk's motion for judgment on the pleadings be **DENIED**. It is

FURTHER ORDERED that Holiday Shipping's request for oral hearing be **DENIED**. It is

FURTHER ORDERED that Maersk shall file its answer to the complaint by April 28, 2021. It is

FURTHER ORDERED that a second joint status report with proposed schedule shall be filed by May 10, 2021.


Erin M. Wirth
Chief Administrative Law Judge